

THE 1-2-3 TRADING STRATEGY

Your Complete Reference Guide

All 6 Market Structure Terms • Points 1-2-3 • Entry • Stop Loss • Exit • Visual Charts

THE BIG PICTURE — WHAT THIS STRATEGY IS ABOUT

The 1-2-3 strategy is built around 3 key moves the market makes. You mark them, confirm them, then enter.

You are never guessing. The market proves itself 3 times before you risk a single dollar.

Once you see all 3 points line up correctly, you enter. Until then you wait. That patience is the edge.

SECTION 1: MARKET STRUCTURE — THE LANGUAGE OF THE MARKET

The market talks to you through highs and lows. These 6 terms are the vocabulary. Know them cold. They never change. Every candle on every chart fits into one of these 6 categories.

GOING UP — Failure To Go Lower (FTGL)

WHAT FTGL MEANS
The market tried to go LOWER but FAILED. Buyers stepped in. When you see any of these 3 terms, the market wants to go UP.

TERM	FULL EXPLANATION
LOW (L)	The market drops to a clear bottom and buyers take over. Sellers gave up. This is what becomes Point 1 in your 1-2-3 call setup. Mark it and watch. Don't touch anything yet.
HIGHER LOW (HL)	Market pulls back but stops HIGHER than the last pullback. Buyers came in sooner this time. They would not let it fall as far. This is what Point 3 looks like in a call setup. It is also a pullback signal during a live trade — do NOT exit your call.
HIGHER HIGH (HH)	Market makes a new peak higher than the last peak. Uptrend continuing strong. If you are in a call trade, hold it. When you see a Higher High near your target — that is your exit signal.

GOING DOWN — Failure To Go Higher (FTGH)

WHAT FTGH MEANS
The market tried to go HIGHER but FAILED. Sellers stepped in. When you see any of these 3 terms, the market wants to go DOWN.

TERM	FULL EXPLANATION
HIGH (H)	The market rises to a clear peak and sellers take over. Buyers ran out of power. This is what becomes Point 1 in your 1-2-3 put setup. Mark it and watch.
LOWER HIGH (LH)	Market bounces but stops LOWER than the last bounce. Sellers came in sooner this time. Would not let it recover as high. This is what Point 3 looks like in a put setup. Also a pullback during a live put trade — do NOT exit your put.
LOWER LOW (LL)	Market makes a new bottom lower than the last bottom. Downtrend continuing. If you are in a put trade, hold it. When you see a Lower Low near your target — that is your exit signal.

Quick Reference — All 6 Terms At A Glance

TERM	DIRECTION	WHAT IT TELLS YOU	ACTION IN YOUR TRADE
Higher High (HH)	Going UP	FTGL — still bullish, uptrend strong	Hold your call. Exit when you hit your target.
Higher Low (HL)	Going UP	Pullback in uptrend. Buyers in control.	Do NOT exit call. Can add to position.
Low (L)	Reversing UP	Sellers gave up. Buyers taking over.	This is your Point 1 for a call setup.
Lower Low (LL)	Going DOWN	FTGH — still bearish, downtrend strong	Hold your put. Exit when you hit your target.
Lower High (LH)	Going DOWN	Pullback in downtrend. Sellers in control.	Do NOT exit put. Can add to position.
High (H)	Reversing DOWN	Buyers gave up. Sellers taking over.	This is your Point 1 for a put setup.

SECTION 2: 1-2-3 STRATEGY — CALL SETUP (GOING UP)

Use this when the market is going UP. You are buying a CALL option. A call makes money when price rises. You wait for 3 specific moves to confirm the direction before you enter.

STEP 1 — POINT 1 — THE LOW (Just watch, do nothing yet)

What it is: The market drops and makes a clear bottom. Sellers pushed price down as far as they could, then ran out. Buyers stepped in.

What you do: Mark this low on your chart with a dot or label it P1. Nothing else.

What it looks like: A series of red bearish candles dropping, then the final candle starts to reverse upward.

Market structure name: This is a LOW — Failure To Go Lower (FTGL). Buyers took control here.

STEP 2 — POINT 2 — THE HIGH (Draw your line here)

What it is: After Point 1, the market bounces UP and makes a new high. This bounce is your Point 2.

What you do: DRAW A HORIZONTAL LINE at the top of this bounce. This is the most important line in the setup. Label it P2.

What it looks like: Green bullish candles moving upward after the Point 1 low.

Why this line matters: When price later breaks ABOVE this line, that is your entry trigger. Mark it clearly.

Market structure name: This is a HIGH or the start of an upswing.

STEP 3 — POINT 3 — THE HIGHER LOW (Confirm the setup)

What it is: After Point 2, the market pulls back down. But it does NOT go back to Point 1. It stops between Points 1 and 2. That higher stopping point is Point 3.

The check: Is Point 3 HIGHER than Point 1? If YES — setup is VALID. If NO (goes below P1) — setup is CANCELLED, start over.

What it looks like: Red candles pulling back after Point 2, stopping before reaching the Point 1 level.

Why this matters: Buyers came in EARLIER this time. They would not let price fall as low. That is strength. Buyers are in control.

Market structure name: This is a HIGHER LOW — Failure To Go Lower (FTGL).
THE RULE: Point 3 MUST be between Points 1 and 2. Always. No exceptions.

STEP 4 — ENTRY TRIGGER — Bullish Candle Closes ABOVE Point 2
What triggers your entry: After Point 3, the market starts pushing back up. The moment a GREEN bullish candle CLOSES above your Point 2 line — that is your signal.
What you do: Buy your CALL option immediately when that candle closes above the line.
The candle must CLOSE above the line, not just poke through. The body must be on the other side.
Do NOT enter early trying to predict it. Wait for the close. Patience here is everything.

STOP LOSS — Call Setup	EXIT / TARGET — Call Setup
Where: The bottom wick of the Point 3 candle. Why: If price falls back below Point 3, buyers did not hold. Setup failed. Exit fast. Rule: Set this the MOMENT you enter. Before anything else. Never skip it.	Option A: The next key level above your entry (any of your 6 lines). Option B: The next market structure High or Higher High on the chart. Rule: Whichever comes FIRST. When you reach it — get out. Take the money.

REAL EXAMPLE — CALL TRADE ON SPY
Market sells off: SPY drops from \$525 down to \$521.50. That low at \$521.50 = POINT 1. Mark it.
Bounce: SPY bounces back up to \$524.80. That high at \$524.80 = POINT 2. Draw your line there.
Pullback: SPY pulls back to \$522.70. Notice — \$522.70 is ABOVE Point 1 (\$521.50). That = POINT 3. Setup VALID.
Entry trigger: A green candle closes at \$525.10, which is ABOVE your Point 2 line at \$524.80. BUY YOUR CALL NOW.
Stop loss: Set immediately at \$522.70 (bottom wick of Point 3).
Target: Next key level is \$526.40. That is your exit. SPY hits it. You exit. Profitable trade.

SECTION 3: 1-2-3 STRATEGY — PUT SETUP (GOING DOWN)

Use this when the market is going DOWN. You are buying a PUT option. A put makes money when price falls. Exact opposite of the call setup — every rule flips.

STEP 1 — POINT 1 — THE HIGH (Just watch, do nothing yet)

What it is: The market rises to a clear peak. Buyers pushed price up as far as they could, then ran out. Sellers stepped in.

What you do: Mark this high on your chart. Label it P1. Nothing else yet.

What it looks like: A series of green bullish candles rising, then the final candle starts to reverse downward.

Market structure name: This is a HIGH — Failure To Go Higher (FTGH). Sellers took control here.

STEP 2 — POINT 2 — THE LOW (Draw your line here)

What it is: After Point 1, the market drops and makes a new low. This drop is your Point 2.

What you do: DRAW A HORIZONTAL LINE at the bottom of this drop. Label it P2. This is your trigger line.

When price later breaks BELOW this line, that is your put entry signal.

Market structure name: This is a LOW or the start of a downswing.

STEP 3 — POINT 3 — THE LOWER HIGH (Confirm the setup)

What it is: After Point 2, the market bounces back up. But it does NOT get back to Point 1. It stops between Points 1 and 2. That lower stopping point is Point 3.

The check: Is Point 3 LOWER than Point 1? If YES — setup is VALID. If NO (goes above P1) — setup is CANCELLED, start over.

What it looks like: Green candles bouncing after Point 2, stopping before reaching the Point 1 level.

Why this matters: Sellers came in EARLIER this time. Buyers could not recover as high. Sellers are in control.

Market structure name: This is a LOWER HIGH — Failure To Go Higher (FTGH).

THE RULE: Point 3 MUST be between Points 1 and 2. Always.

STEP 4 — ENTRY TRIGGER — Bearish Candle Closes BELOW Point 2

What triggers your entry: After Point 3, market starts dropping. The moment a RED bearish candle CLOSES below your Point 2 line — that is your signal.

What you do: Buy your PUT option immediately.

Wait for the candle to CLOSE below the line. A wick does not count. Body must close below.

No guessing. No jumping early. Wait for the close.

STOP LOSS — Put Setup	EXIT / TARGET — Put Setup
Where: The top wick of the Point 3 candle. Why: If price rises back above Point 3, sellers did not hold. Setup failed. Exit immediately. Rule: Set it the moment you enter. Every time. No exceptions.	Option A: The next key level below your entry (any of your 6 lines). Option B: The next market structure Low or Lower Low on the chart. Rule: Whichever comes FIRST. When you reach it — get out. Take the money.

REAL EXAMPLE — PUT TRADE ON QQQ

Market runs up: QQQ rises from \$445 up to \$451.20. That high at \$451.20 = POINT 1. Mark it.

Drop: QQQ drops down to \$447.80. That low at \$447.80 = POINT 2. Draw your line there.

Bounce: QQQ bounces back to \$449.60. Notice — \$449.60 is BELOW Point 1 (\$451.20). That = POINT 3. Setup VALID.

Entry trigger: A red candle closes at \$447.40, which is BELOW your Point 2 line at \$447.80. BUY YOUR PUT NOW.

Stop loss: Set immediately at \$449.60 (top wick of Point 3).

Target: Next key level is \$446.20. QQQ drops there. Exit. Profitable trade.

SECTION 4: PULLBACKS — STAY IN YOUR TRADE

Once you are in a trade the market will wiggle, dip, and bounce. These are pullbacks. If you do not know what they look like you will exit too early and miss the profit.

UPTREND PULLBACK — Higher Low	DOWNTREND PULLBACK — Lower High
What it is: While in your call, price dips back down but stops HIGHER than the last dip. What it means: FTGL. Market is still going UP. Do NOT exit. Opportunity: You can ADD to your call position here. Stop loss for add = bottom wick of the Higher Low candle.	What it is: While in your put, price bounces up but stops LOWER than the last bounce. What it means: FTGH. Market is still going DOWN. Do NOT exit. Opportunity: You can ADD to your put position here. This is where you catch the meat of the move.

SECTION 5: TRADE CHECKLIST — RUN THIS BEFORE EVERY TRADE

If you cannot check every single box, do NOT enter the trade. Wait for a cleaner setup.

CHECKLIST — 1-2-3 CALL SETUP	
☐	I can clearly see Point 1 (a Low) marked on my chart.
☐	I have drawn a horizontal line at Point 2 (the High after Point 1).
☐	I can see Point 3 (a Higher Low) that is ABOVE Point 1.
☐	Point 3 is between Points 1 and 2. (If not — I start over.)
☐	A bullish green candle has CLOSED above my Point 2 line.
☐	I know my stop loss level (bottom wick of Point 3).
☐	I know my exit target (next key level OR next High or Higher High).
☐	I am buying a CALL option.
☐	Stop loss is set the MOMENT I enter.

CHECKLIST — 1-2-3 PUT SETUP	
☐	I can clearly see Point 1 (a High) marked on my chart.
☐	I have drawn a horizontal line at Point 2 (the Low after Point 1).
☐	I can see Point 3 (a Lower High) that is BELOW Point 1.
☐	Point 3 is between Points 1 and 2. (If not — I start over.)
☐	A bearish red candle has CLOSED below my Point 2 line.
☐	I know my stop loss level (top wick of Point 3).
☐	I know my exit target (next key level OR next Low or Lower Low).
☐	I am buying a PUT option.



Stop loss is set the MOMENT I enter.

SECTION 6: CHEAT SHEET — KEEP THIS ON YOUR DESK

CALL SETUP — Step By Step	PUT SETUP — Step By Step
• P1 = The LOW → mark it • P2 = The HIGH after P1 → draw your line • P3 = HIGHER LOW (must be above P1) • Check: Is P3 above P1? YES → valid setup • Entry: Green candle CLOSES above P2 line • Stop loss: BOTTOM WICK of P3 candle • Target: Next key level OR next High • Pullback = Higher Low = STAY IN call • If P3 goes below P1 → CANCEL, start over	• P1 = The HIGH → mark it • P2 = The LOW after P1 → draw your line • P3 = LOWER HIGH (must be below P1) • Check: Is P3 below P1? YES → valid setup • Entry: Red candle CLOSES below P2 line • Stop loss: TOP WICK of P3 candle • Target: Next key level OR next Low • Pullback = Lower High = STAY IN put • If P3 goes above P1 → CANCEL, start over

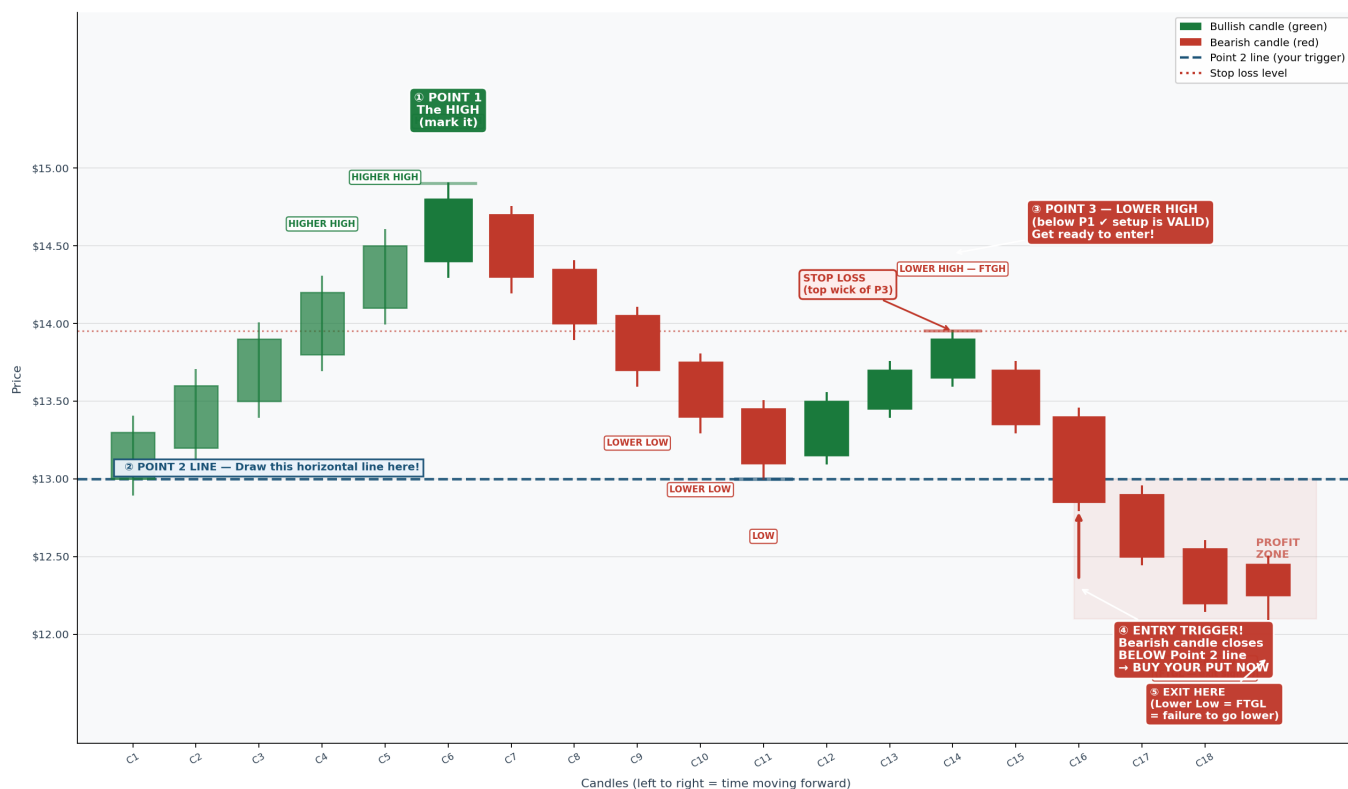
TERM	DIRECTION	WHAT TO DO IN YOUR TRADE
Higher High	Still going UP	Hold call. Exit when you see it near your target.
Higher Low	Still going UP	Do NOT exit call. Normal pullback. Can add.
Low	Reversing UP	This is your Point 1 for a call setup.
Lower Low	Still going DOWN	Hold put. Exit when you see it near your target.
Lower High	Still going DOWN	Do NOT exit put. Normal pullback. Can add.
High	Reversing DOWN	This is your Point 1 for a put setup.

ON THE CHART	WHAT IT MEANS
① POINT 1 The LOW	The market dropped to this bottom and reversed. Sellers gave up. Buyers took over. Mark it and wait. Do not enter. The bottom wick marks the lowest price sellers could push to.
POINT 2 LINE (blue dashes)	The horizontal blue dashed line you draw at the top of the bounce after Point 1. This is your trigger line. When price closes above it — you enter. Keep your eyes on this line at all times.
③ POINT 3 Higher Low	The pullback after Point 2 that stops HIGHER than Point 1. See how it is above P1? That confirms buyers are in control. The bottom of this candle wick is your stop loss. Label it HIGHER LOW on your chart.
STOP LOSS (red dots)	The dotted red line at the bottom wick of Point 3. Set this the moment you enter your call. If price drops to this level, the setup failed and you get out immediately.

④ ENTRY Trigger	The green candle with the arrow pointing up. This candle CLOSED above your Point 2 line. That is the signal. You buy your call the moment this candle closes above P2.
⑤ EXIT Here	The market made a Higher High near the top of the move. Higher High = FTGH = Failure to go higher = market about to turn. That is your exit signal. Close the trade and take your money.

PUT SETUP (GOING DOWN) — All 3 Points, Entry, Stop Loss, and Exit Marked

1-2-3 STRATEGY — PUT SETUP (GOING DOWN) Every Point, Entry, Stop Loss, and Exit Marked



ON THE CHART	WHAT IT MEANS
① POINT 1 The HIGH	The market rose to this peak and reversed. Buyers ran out of steam. Sellers took over. Mark it and wait. Do not enter. The top wick marks the highest price buyers could push to.
POINT 2 LINE (blue dashes)	The horizontal blue dashed line drawn at the bottom of the drop after Point 1. This is your trigger line. When price closes below it — you enter your put.
③ POINT 3 Lower High	The bounce after Point 2 that stops LOWER than Point 1. See how it is below P1? That confirms sellers are in control. The top of this candle wick is your stop loss. Label it LOWER HIGH on your chart.
STOP LOSS (red dots)	The dotted red line at the top wick of Point 3. Set this the moment you enter your put. If price rises back to this level, the setup failed and you get out fast.
④ ENTRY Trigger	The red candle with the arrow pointing down. This candle CLOSED below your Point 2 line. That is the signal. You buy your put the moment this candle closes below P2.
⑤ EXIT Here	The market made a Lower Low near the bottom of the move. Lower Low = FTGL = Failure to go lower = market about to bounce. That is your exit signal. Close the trade and take your money.

THE 3 POINTS YOU ARE ALWAYS LOOKING FOR

- ① POINT 1 (the extreme) ② POINT 2 (draw your line) ③ POINT 3 (confirm direction)

See all 3. Confirm P3 is between P1 and P2. Then and only then — enter when price breaks past P2.